

Interview Feedback

Brew & Bean Profitability · 2026-10-05 · Overall: adequate

Top improvement

Before declaring an unexplained gap, check that you've treated every growth figure the same way. You read the bean 40% as a unit-price rise but the other-input 37.5% as total dollars. Read consistently, beans give 14.7 points and other inputs 43.3, which ties exactly to 58% COGS. Then size your recommendation: show how much margin your price increase actually restores (8% gets you to about 13%, not 24%).

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened with a clear hypothesis that the problem sits on the cost side, which pointed the case toward where the answer likely was.

“Since revenue grew, the story is almost certainly on the cost side, though I don’t want to rule out revenue mix yet.”

What needs work

The initial three buckets overlapped, with external factors duplicating drivers already inside COGS and labor. When prompted on MECE, the candidate correctly spotted the overlap and rebuilt the tree as revenue-side versus cost-side effects, including below-the-line items.

“Third, external factors — commodity prices, wage inflation, competition.”

“It’s a driver of the other two, not a parallel branch.”

“So cleaner version: margin change equals revenue-side effects (price, volume, mix) plus cost-side effects (COGS, operating, below-the-line), with external drivers explaining each.”

The opening framed the tension but never restated the CEO’s objective (find the root cause and reverse it), and never tied the structure to that decision. Pricing power and peer comparison were not set up as explicit sub-questions.

“So the key tension is revenue is up 15% but margin collapsed from 24% to 6% — that’s a huge drop, roughly a quarter of what it was.”

Missed opportunities

Turn 1 opening, before laying out buckets.

A great answer: “The CEO wants the root cause of an 18-point margin drop and a plan to reverse it. Profit is revenue minus cost, so I’ll look at (1) revenue: price, volume, mix — notably whether prices kept up with costs; (2) COGS by input; (3) operating costs: labor and overhead; (4) below the line. My hypothesis is COGS inflation not passed through to price, so I’d start there and check whether peers are seeing the same squeeze, which tells us how much pricing power we have.”

Quantitative & Analytical Rigor

adequate

What went well

The candidate set up the margin math explicitly and tied it out before using it, confirming the three lines explain the full 24%-to-6% decline.

“Let me check that it ties out.”

“Of the 18 points lost, COGS accounts for 16 and overhead for 2.”

The candidate correctly converted share-of-COGS into points of revenue ($25\% \times 42 = 10.5$ points), sized beans at 4.2 points and other inputs at 11.8 points, and flagged the dollar-versus-share ambiguity unprompted.

“Let me set this up in percentage-of-revenue points so everything’s comparable.”

“So of the 16-point COGS increase, roughly 11.8 points come from dairy, packaging, and food, and about 4.2 points from beans.”

What needs work

The 5–8% price increase was asserted, never derived. With costs at 94% of current revenue, restoring a 24% margin needs revenue of $94/0.76 \approx 123.7$, roughly a 24% price lift. A 5–8% rise only gets the margin to about 10.5–13%, and the candidate never stated how much of the gap the recommendation closes.

“so a 5-8% increase likely sticks.”

In turn 11 the candidate double-counted revenue growth (beans to 12.8 points, a 7.5-point gap). It was corrected to 14.7 points and 5.6 points only after the interviewer asked the candidate to revisit the residual.

“taking beans from 10.5 points to about 12.8”

| *"I double-counted the revenue growth before."*

Missed opportunities

Turn 17, when proposing a price increase.

A great answer: "Costs are 94 points of today's revenue. If costs hold in dollars, a price increase of p gives margin $(100p - 94)/100p$. Getting back to 24% needs about 24% higher prices, which is too much at once. An 8% increase on less elastic specialty drinks gets us to about 13%. The remaining ~11 points must come from procurement across beans and other inputs, plus usage control."

Data & Exhibit Interpretation

strong

What went well

The candidate read the cost data systematically, isolated COGS as 16 of the 18 lost points, and correctly interpreted flat labor as growing in line with revenue.

| *"Of the 18 points lost, COGS accounts for 16 and overhead for 2."*

| *"Labor is flat as a percentage, which actually means labor costs grew roughly in line with the 15% revenue growth, so that's not the story."*

The candidate immediately asked what sits inside COGS and whether prices were passed through, which is the right next step after finding the driver.

| *"Do we have a breakdown of what's inside COGS, and has Brew & Bean changed menu prices in the last two years?"*

The candidate tested whether the bean spike alone could explain the COGS increase and read the steady linear trend as a structural problem. However, the excess-usage narrative rested on a residual created by treating the bean 40% as a unit-price rise and the other-input 37.5% as total-dollar growth, and the candidate did not check whether a consistent reading reconciles the data.

| *"That steadiness argues against a one-off shock and for a structural trend that's been running unchecked for two years."*

| *"So they're using materially more beans per dollar of revenue than before."*

Missed opportunities

Turn 11, once the 40% bean figure arrived.

A great answer: "Interesting — 40% on 10.5 points is 14.7, exactly the bean residual I got in my first pass. That suggests the first reading reconciles cleanly: 4.2 points from beans and 11.8 from dairy, packaging, and food. Before inferring a usage problem, I'd confirm how both growth figures are defined."

Business Judgment & Insight

adequate

The candidate asked for waste and usage data and for whether the COGS categories were exhaustive; the interviewer had neither, so the waste and portioning hypothesis is not faulted for that missing data.

What went well

The candidate identified the unchanged menu prices as the main self-inflicted issue and backed a pricing move with sensible reasons: inelastic demand and peers facing the same commodity environment.

| *"Specialty coffee tends to be relatively price-inelastic and competitors are facing the same commodity environment, so a 5-8% increase likely sticks."*

The candidate rejected labor cuts with a clear rationale and proposed piloting prices to manage elasticity risk.

| *"What I'd avoid is cutting labor — it's flat at 22% and cutting it risks service quality."*

| *"Risks: price elasticity could be worse than assumed, so I'd pilot in a few markets first."*

The candidate prioritized hypothesis testing by cost and speed of validation, which is practical consulting judgment.

| *"I'd test product mix shift first — not because it's most likely, but because it's the cheapest to rule in or out."*

What needs work

Procurement levers target only beans, even though the candidate's own math put other inputs at 6.2 points (and 11.8 in the first pass). Dairy, packaging and food sourcing were left unaddressed.

| *"then lock in forward bean contracts."*

Missed opportunities

Turn 17, laying out procurement.

A great answer: "Procurement shouldn't stop at beans. Dairy, packaging and food are a large share of the COGS increase, so I'd put contracts and supplier renegotiation on those too. Our 200-store scale gives leverage across all inputs."

Creativity & Brainstorming

strong

What went well

The candidate organized levers into distinct buckets (pricing, procurement, mix and menu engineering, and overhead) but launched into the levers without naming that structure up front, which made the organization harder to follow.

"Procurement: they're clearly exposed to spot prices."

"Mix and menu engineering: push higher-margin items — food, merchandise, cold brew — and consider cup-size or recipe standardization."

"Fair. Let me lay out the levers beyond fixing bean usage."

The candidate included less obvious ideas: selective repricing aimed at the bean-heavy drinks driving usage, and recipe or cup-size standardization.

"I'd also reprice selectively — raise on the bean-heavy drinks that are driving the usage problem rather than across the board."

The candidate explicitly prioritized and sequenced the levers.

"Priority order: immediate selective price increase of 5 to 8%, weighted toward bean-heavy drinks; in parallel, a 30-day store-level audit of waste and portioning; then lock in forward bean contracts."

Missed opportunities

Turn 17, opening the brainstorm.

A great answer: "I'll split levers into four: price, input cost, usage and mix, and overhead, then prioritize by impact and speed."

Synthesis & Recommendation

strong

What went well

The candidate led with a committed, answer-first recommendation.

"My recommendation: Brew & Bean's margin collapse is overwhelmingly a cost-of-goods problem, and the fastest path back is pricing, executed alongside fixing bean usage."

The candidate gave three supporting reasons tied to the analysis, then named risks and next steps concisely.

"Risks: price elasticity could be worse than assumed, so I'd pilot in a few markets first."

"Next step is pulling POS mix data and piloting the price change."

What needs work

The synthesis never quantified how much margin the plan restores. It also leans on a 5–6 point unexplained residual whose existence depends on how the two growth figures are read.

"Second, within COGS, bean price inflation of 40% accounts for roughly 4 points of revenue, but our residual suggests another 5 to 6 points we can't explain by price, pointing to waste, portioning, or mix."

Missed opportunities

Turn 19, after giving the priority order.

A great answer: "Together, a selective 8% price rise takes margin to about 13%. Input-cost actions across all categories are the path to recover the rest toward our 24% baseline."

Communication & Delivery

strong

What went well

The candidate was generally top-down and signposted, stating the approach before computing and the structure before detail. The exhibit response was an exception: it opened with a trend observation before reaching the main point, slightly burying the headline.

"Let me set this up in percentage-of-revenue points so everything's comparable."

"Three supporting points."

"The exhibit shows a very linear decline — 24 to 15 to 6, exactly nine points a year, and COGS rising exactly eight points a year while labor sits flat."

The candidate used hypothesis-driven phrasing and built directly on interviewer cues and new data.

"Since revenue grew, the story is almost certainly on the cost side, though I don't want to rule out revenue mix yet."

"Good, that changes the answer materially — let me redo it."

Missed opportunities

Turn 11, responding to the exhibit.

A great answer: "Headline first: the exhibit confirms COGS is the driver, and it's a steady structural climb, not a shock. Two implications follow."

Pushback, Composure & Case Leadership

strong

What went well

The candidate acknowledged the MECE challenge specifically and updated the structure with explicit reasoning.

| *"It's a driver of the other two, not a parallel branch."*

When asked to pressure-test the residual, the candidate found and corrected an own error and named the key caveat. However, the candidate had already dropped the first-pass split after the dollar-terms clarification and never noticed that the corrected 14.7-point bean figure exactly matched it, which was a reason to hold that reading or probe further.

| *"I double-counted the revenue growth before."*

| *"Do we know those four categories are exhaustive?"*

| *"Beans are the bigger driver after all — my earlier read was wrong because I conflated dollar and percentage-of-revenue growth."*

The candidate drove the case proactively, repeatedly asking for the next relevant data point.

| *"Do we know what happened to green coffee prices over this period, and whether the client hedges or buys on spot?"*

Missed opportunities

Turn 15, when the bean price math produced 14.7 points.

| A great answer: "14.7 is exactly my turn-7 residual. If I treat the 37.5% as a unit price rise the same way I'm treating beans, the numbers reconcile to 58 with no gap, so I'd confirm the definitions before committing to a waste audit."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Candidate · 0:07

Let me take a second to structure this.

So the key tension is revenue is up 15% but margin collapsed from 24% to 6% — that's a huge drop, roughly a quarter of what it was. Since revenue grew, the story is almost certainly on the cost side, though I don't want to rule out revenue mix yet.

I'd break it into three buckets:

First, revenue quality — is the 15% growth coming from new stores, more transactions per store, or price increases? Growth from opening new locations could be dragging margin if new stores aren't mature yet.

Second, costs, split into COGS (coffee beans, milk, cups, food) and operating costs (labor, rent, utilities, marketing, corporate overhead). I'd want to see which line items grew faster than revenue.

Third, external factors — commodity prices, wage inflation, competition.

To start, do we have a cost breakdown as a percentage of revenue for both years? That would let me isolate where the 18 points went.

Interviewer · 0:09

Okay. I'll come to that data shortly. Before I give you data, is that structure MECE — what's missing or overlapping?

Candidate · 0:15

Fair challenge. A couple of issues.

Overlap: my "external factors" bucket isn't really separate — commodity prices show up inside COGS, wage inflation inside labor. It's a driver of the other two, not a parallel branch. I'd fold it in as a "why" layer rather than a third bucket.

Gap: I framed it as revenue and costs, but profit margin is profit over revenue, so I should be explicit that revenue itself has two levers — price per ticket and volume — and that mix matters. A shift toward lower-margin items, say more food or more cold drinks with higher input costs, could hurt margin even with revenue growing.

Also missing: anything below the operating line. Net margin, not gross, so interest expense, depreciation from a build-out, or taxes could be part of it. If they've been financing 200 locations with debt, that's real.

So cleaner version: margin change equals revenue-side effects (price, volume, mix) plus cost-side effects (COGS, operating, below-the-line), with external drivers explaining each.

Interviewer · 0:17

COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Okay. Using those figures, where did the margin go, and which line would you dig into first?

Candidate · 0:23

Let me check that it ties out. Two years ago: 42 plus 22 plus 12 equals 76% of revenue in costs, leaving 24% margin — that matches. Today: 58 plus 22 plus 14 equals 94%, leaving 6% — also matches. Good, so these three lines explain the whole decline.

Of the 18 points lost, COGS accounts for 16 and overhead for 2. Labor is flat as a percentage, which actually means labor costs grew roughly in line with the 15% revenue growth, so that's not the story.

So COGS is where I'd go — it's nearly 90% of the problem, and 2 points of overhead isn't worth chasing first.

Digging in, COGS going from 42 to 58 could be input cost inflation (coffee bean prices spiked), product mix shifting toward lower-margin items, waste or spoilage, or prices not being raised to pass through cost increases.

Do we have a breakdown of what's inside COGS, and has Brew & Bean changed menu prices in the last two years?

Interviewer · 0:25

Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Menu prices have not changed in two years. Using those, how much of the COGS increase can you attribute to beans versus everything else? Walk me through the calculation.

Candidate · 0:33

Let me set this up in percentage-of-revenue points so everything's comparable.

Two years ago COGS was 42 points of revenue. Beans were 25% of that, so 10.5 points, and everything else was 75%, so 31.5 points.

Now, "other inputs up 37.5%" — I'll assume that's growth as a share of revenue, not absolute dollars. So $31.5 \times 1.375 = 43.3$ points.

Today total COGS is 58 points, so beans must be $58 - 43.3 = 14.7$ points, up from 10.5. That's an increase of 4.2 points, or about a 40% rise.

So of the 16-point COGS increase, roughly 11.8 points come from dairy, packaging, and food, and about 4.2 points from beans. Other inputs are nearly three-quarters of the problem — which surprised me, I'd assumed beans were the villain.

One flag: if that 37.5% was absolute dollar growth, then with revenue up 15% the per-revenue increase is only about 19.6%, and the split changes a lot. Which is it?

Interviewer · 0:35

The figure is the growth in other input costs over two years, in dollar terms, not a share of revenue. Given that, how would you restate the split between beans and everything else?

Candidate · 0:43

Good, that changes the answer materially — let me redo it.

Other inputs grew 37.5% in dollars while revenue grew 15%. So as a share of revenue they grew by a factor of $1.375 / 1.15 = 1.196$, about 19.6%.

Applying that: $31.5 \text{ points} \times 1.196 = 37.7$ points of revenue today.

Beans are then the residual: $58 - 37.7 = 20.3$ points, versus 10.5 two years ago. That's an increase of 9.8 points, essentially doubling as a share of revenue.

So of the 16-point COGS increase, beans are about 9.8 points and other inputs about 6.2 points. Beans are the bigger driver after all — my earlier read was wrong because I conflated dollar and percentage-of-revenue growth.

In dollar terms beans are up roughly 1.93×1.15 , so about 122% — more than doubled. That smells like a commodity price spike rather than volume.

Do we know what happened to green coffee prices over this period, and whether the client hedges or buys on spot?

Interviewer · 0:45

Raw coffee bean costs are up 40% over the past two years. I've put the cost structure exhibit in front of you. What does it tell you, and what does it change about your view?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 0:55

The exhibit shows a very linear decline — 24 to 15 to 6, exactly nine points a year, and COGS rising exactly eight points a year while labor sits flat. That steadiness argues against a one-off shock and for a structural trend that's been running unchecked for two years.

But the bigger thing is the 40% figure doesn't reconcile. If bean prices rose 40% and volume moved with revenue, bean dollars would be up 40%, which as a share of revenue is $1.40 / 1.15 = 1.217$ — taking beans from 10.5 points to about 12.8. I calculated actual beans at 20.3 points. That's a 7.5-point gap price alone can't explain.

So they're using materially more beans per dollar of revenue than before. Possible causes: waste and spoilage, inconsistent

portioning or over-pouring at store level, theft, or a mix shift toward larger and more bean-intensive drinks that aren't priced for it.

That reframes this. It's not purely a commodity problem you hedge your way out of — there's an operational control issue. Do we have data on waste rates or beans used per drink by store?

Interviewer · 1:02

That's not in the information I have. That isn't something I have data on. Before we go further, which of the explanations you listed would you test first, and why?

Candidate · 1:10

I'd test product mix shift first — not because it's most likely, but because it's the cheapest to rule in or out. They have POS data already; I can pull unit mix by drink type for both periods and compare. If the mix has swung toward larger sizes or multi-shot espresso drinks, bean usage per transaction rises mechanically and I've explained part of the gap in a day. Waste and theft studies need store visits and inventory audits — weeks of work.

Mix is also the one that connects to the other fact we have: prices haven't moved in two years. If customers shifted to bean-heavier drinks and the menu never repriced to reflect that, the margin leak is baked into the price architecture, which is also the fastest thing to fix.

Second I'd test portioning and waste, since a uniform drift across 200 stores would point to a process or training failure rather than isolated theft.

One caveat: these aren't mutually exclusive — likely some of each.

Interviewer · 1:12

Okay. Going back to your bean calculation: you derived the bean share as a residual from COGS. Walk me through whether that residual holds up given the 40% bean cost increase I gave you.

Candidate · 1:21

Let me pressure-test it, because I think I made an error a moment ago.

If bean prices are up 40% per pound and bean volume grows with revenue at 15%, bean dollars are up $1.40 \times 1.15 = 1.61$, so 61%. As a share of revenue that's $1.61/1.15 = 1.40$ — the volume cancels and you just get the price effect. So beans go from 10.5 points to $10.5 \times 1.40 = 14.7$ points, not the 12.8 I said. I double-counted the revenue growth before.

So the gap is 20.3 versus 14.7, about 5.6 points unexplained, not 7.5. Still large, but smaller.

The deeper issue: the residual is only as good as the assumption that COGS equals beans plus those three categories. If there's anything else in COGS — syrups, merchandise, new food lines, or distribution — the residual dumps all of it onto beans and overstates the anomaly. Do we know those four categories are exhaustive?

Interviewer · 1:32

I don't have a further breakdown of COGS beyond those categories, so treat that as an open caveat. Beyond what we've discussed, what else could the client do to reverse the margin decline?

Candidate · 1:39

Fair. Let me lay out the levers beyond fixing bean usage.

Pricing is the most obvious untouched one. Prices haven't moved in two years while input costs rose sharply — that's the single biggest self-inflicted piece. Specialty coffee tends to be relatively price-inelastic and competitors are facing the same commodity environment, so a 5-8% increase likely sticks. Rough math: on a 6% margin, even 5 points of price flowing mostly to the bottom line roughly doubles profitability. I'd also reprice selectively — raise on the bean-heavy drinks that are driving the usage problem rather than across the board.

Procurement: they're clearly exposed to spot prices. Forward contracts or hedging won't recover past losses but stops the bleeding, and at 200 locations there's scale to negotiate.

Mix and menu engineering: push higher-margin items — food, merchandise, cold brew — and consider cup-size or recipe standardization.

Overhead is up 2 points; smaller, but worth asking whether corporate costs scaled with new store openings.

What I'd avoid is cutting labor — it's flat at 22% and cutting it risks service quality.

Interviewer · 1:42

Okay. Of those levers, which would you prioritize, and what is your overall recommendation to the CEO?

Candidate · 1:48

My recommendation: Brew & Bean's margin collapse is overwhelmingly a cost-of-goods problem, and the fastest path back is pricing, executed alongside fixing bean usage.

Three supporting points. First, the diagnosis is clean — COGS explains 16 of the 18 lost margin points, labor is flat, overhead is only 2 points. Second, within COGS, bean price inflation of 40% accounts for roughly 4 points of revenue, but our residual suggests another 5 to 6 points we can't explain by price, pointing to waste, portioning, or mix. Third, menu prices haven't moved in two years, so none of this was passed through.

Priority order: immediate selective price increase of 5 to 8%, weighted toward bean-heavy drinks; in parallel, a 30-day store-level audit of waste and portioning; then lock in forward bean contracts.

Risks: price elasticity could be worse than assumed, so I'd pilot in a few markets first. And my bean figure is a residual — if COGS contains categories we haven't seen, that number moves.

Next step is pulling POS mix data and piloting the price change.

Interviewer · 1:49

That's our time. Thanks for working through this with me — your written report will follow.